AGENT DOUBLE DIP

TECHNIQUE

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QUICKSTART KIT

Agent Double Dip Technique

Agents can be an incredible resource for finding deals and getting your offers accepted, if you know how to motivate them. And with this resource you'll have everything you need to get agents bringing you hot deals before they go on the MLS. You'll get word-for-word scripts, responses, and an explanation of the revolutionary Double Dip Technique.

Understanding Real Estate Agents...

Agents get paid a commission on the sale price paid by the seller. Typically the total compensation is 6% of the sale price. In a normal transaction there are 2 agents:

Listing Agent: Hired by the seller to market and sell the property, the listing agent puts the property on the Multiple Listing Service (MLS) where other agents collaborate on their listings. Typically, the listing agent earns 3%.

Buyer's Agent: A buyer's agent has a client who is in the market to purchase a property and the buyer's agent is helping them find, negotiate and purchase a property. Typically, the buyer's agent earns 3%.

To put it simply, the listing agent has the property, the buyer's agent has the buyer and when they come together and agree on a sale price, typically, each agent earns 3% (total of 6% paid by the seller).

Duel Agency: Duel agency is when the listing agent also has the buyer. In this situation, the duel agent represents both parties and would earn both the 3% as the listing agent and 3% as the buyer's agent for a total of 6%!

How to motivate agents to bring you deals...

Double Dip Strategy:

The "double dip" technique is when you strategically create a duel agency situation. When looking for on-market deals (listed on MLS), instead of working with a buyer's agent to make offers, when you see a property you're interested in, go directly to the listing agent unrepresented (no buyer's agent). Tell the listing agent you're interested in making an offer on their particular listing and you'd like them to represent you as your buyer's agent (just on that specific property). By doing so, the listing agent would also be the buyer's agent (duel agency) and therefore earn 6%.

Let's face it...what listing agent wouldn't prefer to earn 6% instead of 3%?! Here's the beauty of this technique...When listing agents know that you'll let them represent you on their own listings (earn 6%), they'll call you about their deals before they're even listed for sale, giving you an unfair advantage on your competition.

Use the following script when using the double dip technique with a listing agent...

SCRIPT:

Hi, my name is _____ and I'm an all-cash buyer and we are aggressively buying properties in the _____ area. The reason for the call is because I'm unrepresented and I'm interested in making an offer on your listing at _____ (address). What I'd like to do is let you represent me as my buyer's agent and write and submit the offer for me that way you get both sides of the commission. How does that sound...?

Getting agents to call you before their deals are listed...

Remember...it's not about the current deal you're going after, it's about building a long term "double dip" relationship. It's about getting agents to call you with their listings before they're listed and doing many deals ongoing with agents.

Use the following script to establish a long-term relationship...

SCRIPT:

Also...as I mentioned, I buy cash and can close quickly. Can you give me a heads-up on any new listings you get before they go on the MLS so I check them out and get you my offers right away before all the other offers come in through buyers' agents?

In order to get a hold of you quickly, can I get your cell phone and best email?

Handling low offer pushback from agents...

At times you'll get resistance from listing agents because your offer is too low (in their opinion). When a listing agent says, "Your offer is way too low and I can tell you right now the seller won't accept that price," use the following script...

SCRIPT:

You're right, it is a low offer but I would still like you to present it to the seller. If anything, my low offer will prompt the seller to do a price reduction, which will ultimately help you sell the property. And who knows...maybe they're ready to be done with this property and they'll take my cash offer. I can't tell you how many times it's happened to me in the past. Even though it's low, will you please still submit it...?

If they still don't want to submit it...

Even still some listing agents are too lazy to submit your offer even though they would earn a 6% commission. Use the following script if you still get resistance...

SCRIPT:

I'll tell you what...Can you at least call the seller and give them my offer verbally? I really believe that my offer is fair considering the time, work and money that this property needs and if I were the seller, I would still want to know what a cash investor is willing to pay.

Email Follow-up:

Whatever decision was made on the phone with the listing agent, always follow-up with an email confirming in writing what you agreed on. Use the following email template when following up with agents...

SCRIPT:

Subject Line: Cash Offer _____(address)

Hi _____(agent)

It was great talking with you on the phone today. As a follow up to our conversation, you agreed to represent me as my buyer's agent on this specific listing and present my offer to the seller. Here is a summary of the terms of the offer...

[EXAMPLE]
Price: $142,000 Cash
Buyer Name: FSD 123, LLC
Closing: 30 Days from accepted offer
Inspection: 10 day from accepted offer
EMD: $1,000

Please reply to this email confirming you received it as well as once the offer is submitted and also once the seller responds. I look forward to working with you.

Sincerely, _____(your name)

P.S. Please let me know when you get other listings of distressed properties or motivated seller so that you can represent me and I can get you my cash offer right away.

Consistently re-submit your offers

The key to working with agents is consistency. As long as the property remains active, follow up weekly to re-submit your offers. Use the following script to follow up and re-submit your offers...

PHONE SCRIPT:

Hi _____(agent), it's me _____. I'm just following up on my cash offer I made previously on your listing at _____ (address). I see it's still active. Please re-submit my offer again to the seller so that he/she knows I'm still interested in buying his/her property for cash.

EMAIL SCRIPT:

(NOTE: Search the address in your email sent box from when you made the offer the first time and reply to the same email...)

Hi _____(agent),

I'm following up on my cash offer I made previously on your listing at _____ (address). I see it's still active. Please re-submit my offer again to the seller so that he/she knows I'm still interested in buying his/her property for cash." (See offer details below in this email thread).

Sincerely, _____(your name)

OFFER SHEET: 1112 LEXINGTON AVE

1. BUYER NAME/ADDRESS:
Fountain Hills Investments, LLC And/or Assigns
203036 N Gilbert Rd. Suite 2-188, Mesa, AZ 85203

2. PRICE:
$160,000

3. FUNDING
Cash

4. PROOF OF FUNDS
To be included

5. CONDITION/TITLE:
“as-is” condition with free and clear title/warranty deed

6. INSPECTION CONTINGENCY:
10 days from accepted offer

7. EARNEST MONEY DEPOSIT (EMD):
$1000

8. CLOSING DATE:
30 days from accepted offer

9. ACCESS TO PROPERTY:
Seller to give buyer unrestricted access to via contractor lockbox

10. CLOSING COMPANY:
Seller to close with buyer’s title co. of choice

OTHER TERMS:

_____
_____
_____
_____

OFFER SHEET:

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1. **BUYER NAME/ADDRESS:**

2. **PRICE:**

3. **FUNDING**

4. **PROOF OF FUNDS**

5. **CONDITION/TITLE:**

6. **INSPECTION CONTINGENCY:**

7. **EARNEST MONEY DEPOSIT (EMD):**

8. **CLOSING DATE:**

9. **ACCESS TO PROPERTY:**

10. **CLOSING COMPANY:**

OTHER TERMS:

_____
_____
_____
_____

Script:
List it or Flip it

Situation:
Licensed real estate agent/investor with a distressed property seller lead

Goal:
Discover if the seller wants a retail buyer (list it) or a cash-investor (flip it).

Retail – Seller wants price over speed/convenience.
- Willing to go on-market, Pay commissions, showings, inspections, repairs, appraisals, etc. to get the highest price.)

Cash-Investor - Seller wants speed/convenience over price.
- Willing to sell at a discount as-is, for all-cash with a fast/convenient closing.

SCRIPT:

[Agent/investor meeting with a seller to discuss selling his property]

"I'd like to discuss with you 2 different options to sell your home as well as the pros and cons so you can make the most informed decision that is best for you. The good news is, whichever option you decide is best, I can help you. Would that be ok..?"

Option 1: Retail Buyer
"First, let's discuss option 1 which is to get you the highest price the market will pay for your home. We can take a look at what price you can expect to get in a minute but before we do that, let's discuss what will need to happen to get the highest price…

The best way to get the highest price possible for your home is to list it for sale on-market, which I can do for you as your listing agent. As your listing agent I will do everything possible to get you the highest price…

To do that we'll need to get maximum exposure in the marketplace. That means I will list your home for sale on the MLS and it will go on Zillow.com, Redfin.com, Trulia.com, realtor.com and all the other public websites. Remember, the way to get the highest paying buyer is to get as many people as possible to see your home for sale…"

[paint a clear picture of the time, energy and expense to get the highest price]

"Next, we'll need to get your home show-ready and presentable for potential buyers. I'll recommend to you removing certain things from the home and making repairs on specific items. You don't have to follow these suggestions but again, if the goal is to get the highest price, then spending the time and money to get your house presentable is critical. Like I said, I'll recommend a list of things to do that will give you the biggest payoff and I even have contractors that I can refer to do the work for you so don't worry…

Once it's ready, we'll take professional pictures and then list it for sale. You'll need to keep the house show-ready at a moment's notice for buyers to come and see it. While that can be really intrusive, keep in mind, the more flexible and available you make your home to see, the easier it will be to attract the highest paying buyer…

Once listed, we may get a really good offer right away but sometimes it takes 30 to 60 days or longer to get the highest price so plan on being patient…

Once we get an acceptable offer, more than likely the buyer will have an inspection performed and it's common for buyers to ask for some or all of the items on the inspection report to be fixed. If there are too many items on the report, it can scare away buyers, which is another reason to take care of as many items as possible before hand…

After the inspection, we're not out of the woods yet. More than likely the buyer will need to get an appraisal and qualify for a loan. If for some reason either the property doesn't appraise high enough or the buyer doesn't qualify for a loan, we'll have to start the process all over again with a new buyer…

If you decide to go with this option, you'll need to plan on paying 6% of the sale price in commissions and usually another 2% to cover closing fees. Those expenses will come out of the proceeds at closing. Up front, you'll need to plan on spending money to make the necessary repairs. And just to be safe, I'd plan on anywhere from 4-6 months for the entire process…

If you decide to go this route, I'll show you some recent sales of similar homes in your neighborhood so we can decide what price to list it for. I'll also provide you a recommended list of repairs and estimated cost so you have an idea. But before we do that and before you decide if this is what you want to do, let's take a look at option 2…"

[If seller chooses option 1, sign listing agreement, decide list price and make suggestions for repairs, give estimate of cost, refer contractors, etc.]

Option 2: Cash Investor
"Option 2 is to not do any of that and simply sell your home as-is to an all-cash investor. This option is fast and convenient. You don't have to list it for sale, make repairs, do showings, inspections or appraisals. None of that. You can even leave whatever stuff you don't want… an investor will take care of it for you. Best of all, a cash investor will close on the date of your choosing. That means you could have money in your pocket in as fast as 2 weeks. The trade off with this option is obviously a cash-investor is going to want a discount so they can fix it up to flip or rent it.

So if not waiting to get paid and a super convenient closing is worth it to you, you may want to consider option 2 and I can help you with that as well. I work with a group of investors who buy houses just like yours for all cash. I can discuss your property with my partners and investors and present to you an all-cash offer. If it's worth skipping all the time, hassle and cost involved to get a retail buyer, then all you have to do is approve an agreement and decide your closing date. That's it..!"

[help seller understand you don't have a preference and only want to help]

*"*Either way, whether you choose option 1 or option 2, it doesn't matter to me. I can help you with either one. I just want to make sure you're doing what's best for you."

If seller chooses option 2…

Deal Structure Option 1: Pocket Listing

1. Arrange for 1-3 cash buyers (that you work closely with and trust) to see property and give you their highest all-cash offer.
2. Present offer(s) to seller and choose best offer.
3. Charge seller 4-6% commission and facilitate both parties and close the transaction.

Deal Structure Option 2: Wholesaler

1. Become the principal in the transaction.
2. Make an all-cash offer and execute a contract with seller (you are the buyer on contract)
3. Market your contract for sale to local cash buyers
4. Assign contract to a cash buyer for $10k (or more)
5. Close the transaction and get paid.

***Note:** if you choose option 2 (wholesaler), you must be explicitly clear in writing that you are not representing the seller's best interest as an agent and instead are acting as a principal.
- See agent disclosure addendum.